

While periods of oversupply may affect selling prices drastically, the resultant difficulties are not more serious than are found in countless other lines of business. There is reason to believe that the dairy industry will grow over the long future as it has in the long past. The recession of demand during 1929–1933 was a natural phenomenon of deep depression, and it would hardly appear to hold ominous significance for the years to come. Beatrice Creamery is not so favorably situated as the two larger companies (Borden's and National Dairy Products), which enjoy greater diversification and a profitable business in trade-marked brands. Yet the probabilities would point strongly to a recovery of the earning power of Beatrice Creamery to somewhere near its former well-established level, when general conditions are once again propitious.

An individual prediction of this kind may go astray, for to some extent it must be at the mercy of the future. But it is our view that conclusions based upon this type of reasoning will yield more profitable results—on the average and over the long pull—than the type of “market counsel” represented by the bulletins quoted at the beginning of this final note.¹⁰

Sequel. Conditions developed for both companies very much as the analyst might have anticipated (though not prophesied) at the end of 1933. In the case of Baldwin, despite the supposed better outlook the loss for 1934 was practically the same as in 1933, and deficits were reported each year until 1939. In 1935 the company entered 77B proceedings, and the price of the common fell to $1\frac{1}{2}$. At the end of 1939 it was selling at the equivalent of 3 in terms of the new securities received in reorganization.

Beatrice Creamery reported a profit for its common stock in the year ended February 1935. Its earnings expanded steadily thereafter (with the exception of one year) until they reached \$3.81 per share of common for the 12 months ended November 1939. At the close of that year the stock was selling at $27\frac{1}{2}$.

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The thesis of Mead and Grodinsky may be summarized in the following paragraph:

All industries decline eventually, after expanding for a longer or shorter period. Once decline begins, it is rarely reversed. At any one moment, all industries may be divided into those expanding and those declining. The onset of decay may be detected by the following symptoms: stationary demand, resort to betterments

¹⁰ Our criticism of certain individual methods followed by Standard Statistics Company, Inc., should not be construed as reflecting upon the work of this outstanding organization in general. On the contrary, it deserves high praise for the accuracy and completeness of its reporting and for the enterprise and open-mindedness it has always shown in developing its scope and technique.